

2027, a market share of 1-1.25% of payments GMV, 2-2.75% of credit, and 3.5-3.75% of retail credit.

The company—focussed on consumer, SME, commercial, rural lending, personal loans, and loans against securities—has generated sustainable growth in profitability over a long period. Jain says there's reason to expect that performance to continue simply because of India's growth prospects. "As per capita income grows, more people come into the broader pyramid of middle-income and mass-affluent consumers. It is estimated that this segment will grow to a billion people by the time India turns 100 in 2047," believes Jain.

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B **AJAJ FINANCE IS** aiming to become an 'omnipresent' financial services provider, covering all consumer touch points, including physical branches, mobile apps, and the internet. The goal is to reduce friction and enable customers to seamlessly switch between online and offline shopping. In terms of physical presence, the company operates across 4,092 locations and had more than 190,000

active distribution points as of December 31, 2023. In the digital space, it has the Bajaj Finserv app, the web platform, and three proprietary marketplaces: the insurance marketplace, investment marketplace, and EMI store.

The strategy is targeted at reaching more customers, improving customer loyalty, increasing cross-selling opportunities, and bettering margins. "We are building social commerce. This consumer platform will go live in June. Rewards will go live in April," says Jain.

The company has reached over 80 million customers in the past 16 years and aims to touch the 100-million mark in the next three years. "We have started providing a long-range strategy document from FY22 onwards. As per the FY23 document, we believe that the company should have served between 130-140 million customers by FY28. This year (FY24), we expect to close the year with 83 million customers," adds Jain.

In this it will be aided by the overall development in the country. Its newer customers will likely come from newer geographies, particularly between Uttar Pradesh and Bihar. That's because per capita incomes are expected to rise in the northern and eastern

regions, which have over the past 25 years lagged behind the western and southern regions. "While the West and South have a per capita income of \$3,000 to \$4,000, the North and East are expected to have per capita incomes below \$1,800. As the North and East catch up in terms of per capita income, the total addressable market will expand," explains Jain.

Another avenue that it is targeting is payments, where platforms like Google Pay, PhonePe, and other third-party apps have established successful business models. The company's payment stack includes wallets, Unified Payments Interface, bill payment services, and more. The payment solutions are at the core of Bajaj Finance's omni-channel strategy because they are expected to enhance customer engagement and retention on the company's new digital platforms.

Towards this end, the company has developed Bajaj Pay into a substantial payments infrastructure over the past three years. The company has deployed merchant QR codes and point-of-sale (POS) terminals. QRs at merchant POS were at 2.71 million by the end of the third quarter of FY24. "The payments strategy is a means to engage customers and not to originate new customers. It helps improve engagement and products per customer metric significantly. Over time it may bring new customers to the fold as well," says Jain.

Credit, which has always been a major focus area, is now undergoing expansion. The company's current market share in credit stands at 1.70% in the BFSI industry, which it is looking to increase to 3-4% by FY27. In terms of consolidated business, mortgage accounts for 31%, SME for 13.3%, two- and three-wheeler financing for 6.2%, commercial lending at 6.7%, and consumer durables financing at 7.9%.

TOP 5 LARGE NBFCs

RANK	NBFCs	TOTAL ASSETS	COST-TO-INCOME RATIO	DEBT-EQUITY RATIO	CAPITAL ADEQUACY	ROCE
1	Bajaj Finance	2,16,525	0.34	3.14	24.57%	14.19%
2	Bajaj Housing Finance	64,654	0.24	5.12	22.97%	14.59%
3	Cholamandalam Investment	1,13,516	0.37	6.81	17.10%	20.51%
4	Muthoot Finance	72,620	0.30	2.36	31.77%	17.63%
5	Aditya Birla Finance	84,123	0.30	6.19	16.38%	14.60%

Total assets in ₹ crore; data for FY23

Source BT-KPMG Best Banks and NBFCs Survey 2022-23